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COMMODITIES DAILY

The Commodities Feed: Oil slips as more crude flows out of Persian Gulf

Oil prices eased despite US–Iran tensions remaining elevated, helped by early indications that Persian Gulf supply is beginning to recover



Energy – Middle distillate market sees further tightening

Oil prices came under pressure yesterday, with ICE Brent settling 1.9% lower on the day, taking it back below \$90/bbl. This weakness comes despite little improvement in tensions between the US and Iran.

There are signs of an increase in oil flows through the Strait of Hormuz. Ship tracking data shows that tanker crossings have increased slightly. Though still in single digits, there are also reports that the shuttling of oil across the strait has resumed. This will not be detected by tracking data, given that transponders will be turned off. However, the US energy secretary has said that around 13m b/d of oil is coming out of the Persian Gulf, with roughly half coming through the strait. The other half is using pipelines to bypass the strait. That would mean flows from the region are around 65% of pre-war levels.

The US also appears to have ruled out further releases from its strategic petroleum reserves (SPR), once the ongoing release of 172m barrels is complete. The SPR currently stands at a little under 308m barrels, and there's growing concern over how much further this reserve could be tapped, given operational minimum levels. While the US Department of Energy has said the operational minimum is 70m barrels, others in the industry estimate this level to be higher,

potentially in the region of 180–200 m barrels. This suggests that the buffer the SPR offers is significantly less than what the headline number states.

Middle distillate markets are set to remain tight, with Russia extending its ban on diesel exports until 1 September. Russia is the second-largest exporter of diesel, shipping more than 700k b/d in 2025. However, Ukrainian drone attacks on Russian refineries have led to significant disruptions to the domestic fuel market, prompting steps by the government to ensure domestic supply. The ICE gasoil crack remains near record highs, trading above \$70/bbl.

The tightening in the market is reflected in inventory data. The latest data from Insights Global shows that gasoil inventories in the ARA region fell by 221kt WoW, to 1.42mt, and are close to the lows seen in 2022.

The increased tension in the Red Sea will also be concerning for European middle distillate markets, potentially leading to disruptions in middle distillate flows from Asia and the Middle East and requiring vessels to take the longer voyage around the Cape of Good Hope.

Metals – Gold demand steady over the second quarter

According to the World Gold Council, total gold demand (including OTC transactions) was unchanged year-on-year at 1,269 tonnes in 2Q 2026, as strong central bank purchases offset weaker investor demand through gold exchange-traded funds (ETFs). Total demand reached 2,522 tonnes in the first half of the year, up 2% YoY. Gold ETFs recorded 45 tonnes of net outflows in the second quarter, reflecting growing inflation and interest rate expectations, along with a stronger US dollar.

Central bank purchases increased 62% YoY to 289 tonnes in 2Q26, rebounding strongly from 1Q and remaining consistent with recent buying trends. However, revised data showed that central banks added only 57 tonnes in 1Q26, 187 tonnes below the April estimate, marking the weakest first-quarter demand in more than a decade. As a result, central bank gold purchases in 2026 are now expected to be lower than in 2025. Jewellery demand declined 17% YoY to 278 tonnes in 2Q, the lowest level since the pandemic, as elevated gold prices and inflation continued to weigh on consumer affordability.

Agriculture – Black Sea grain concerns linger

The wheat market remains nervous as attacks on cargo vessels near Ukraine's Black Sea ports intensified concerns over grain export disruptions. According to Russian officials, one vessel was damaged at Pivdennyi port, while two others were struck near Odesa. The incidents followed a Ukrainian attack on Russia's Taman port, raising concerns about the security of Black Sea shipping routes. Russia and Ukraine together account for nearly 25% of global wheat exports, making any disruption to regional trade a significant risk to global supply. The latest escalation could delay shipments during the peak export season and further tighten global

wheat supplies. Supply concerns have also been exacerbated by weaker harvest prospects in key producing regions. This includes the US, Europe, and Australia, due to adverse weather conditions and limited fertiliser availability.

The Ukraine Grain Association expects Ukraine's grain and oilseed production to rise 1.2% year-on-year to 84.6mt for the 2026 harvest. Among major crops, the association expects total wheat output to rise 5.3% YoY to 23.7mt, whilst corn production could increase by 3.2% YoY to 32.1mt. While production is expected to grow, there are risks to exports given the ongoing attacks on port infrastructure in the Black Sea.

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